

Module 5: Financial Market Analysis and Advanced Applications

AI Finance Seminar (Fall 2026)

Prof. Chae Shick Chung

Sogang University
Graduate School of Economics / MBA

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Course Overview & Learning Objectives

Module 5 Core Objectives (Weeks 13–15)

- **Academic Grounding:** Evaluate AI trading signals under CAPM and APT.
- **Overfitting Mitigation:** Prevent data leakage and noise overfitting in high-noise time series.
- **Korean Market Adaptation:** Adapt global quant models for KOSPI/KOSDAQ data pipelines.
- **Report Automation:** Compare Static RAG vs. Dynamic Multi-Agent architectures for report generation.
- **Governance Framework:** Establish Human-in-the-Loop (HITL) protocols to satisfy fiduciary duty.

Traditional Finance Theory vs. Machine Learning

Traditional Economic Theory

- Grounded in Efficient Market Hypothesis (EMH).
- High **explainability** and structural causality.
- Rigorous statistical hypothesis testing.
- Limited in capturing complex non-linear dynamics.

Machine Learning & AI

- Autonomous pattern discovery in high dimensions.
- Exceptional **predictive power** for non-linear signals.
- Processes unstructured text (filings, news).
- Black-box opacity and overfitting risks.

Econometric Alpha vs. Beta Decomposition

$$R_{it} - R_{ft} = \alpha_i + \beta_i(R_{mt} - R_{ft}) + \epsilon_{it}$$

- **True Alpha (α):** Genuine excess returns generated by AI parsing non-public or qualitative data (e.g., footnotes, alternative data).
- **Hidden Beta (β):** Disguised risk exposure where AI merely buys high-beta or momentum stocks during market rallies.
- **Multi-Factor Control:** Validate AI signals against Fama-French 3/5-Factor models to ensure returns are not explained by known factor exposures.

The Overfitting Trap in High-Noise Markets

Financial Time Series Challenge

Financial markets exhibit extremely low signal-to-noise ratios. Complex deep learning models risk fitting historical noise rather than structural signal.

Mitigation Strategies

- **Purged K-Fold Cross-Validation:** Prevent data leakage across sequential time periods.
- **Regularization & Ensembling:** Constrain model complexity and average predictions across diverse models.
- **Out-of-Sample Testing:** Enforce strict out-of-sample paper trading before live capital deployment.

“Mimic & Reproduce” in Korean Markets (KOSPI/KOSDAQ)

Adapting Global Models to Local Market Microstructure

- **Short-Selling Constraints:** Restrictions on short position execution alter long-short strategy dynamics.
- **High Retail Participation:** Higher behavioral noise, sentiment swings, and retail momentum.
- **Daily Price Limits:** $\pm 30\%$ price limits introduce execution truncation and liquidity bottlenecks.

Implementation Pipeline

Extract KOSPI/KOSDAQ tickers (e.g., 005930.KS) via `yfinance`, clean corporate action artifacts, and parameterize local market frictions.

Automated Financial Reporting: RAG vs. Multi-Agent

Static RAG Architecture

- Single-pass retrieval from verified database.
- High numerical precision & zero context hallucination.
- Fast execution and low token cost.
- Best for compliance & factual verification.

Dynamic Multi-Agent

- Collaborative debate among specialist agents.
- High narrative depth & synthesis.
- Self-correcting through agent reflection.
- Higher latency & token cost.

Financial Report Automation: Side-by-Side Comparison

Dimension	Static RAG	Multi-Agent System
Execution	Single-pass search	Multi-step ReAct / Debate
Numerical Accuracy	Near 100% precision	Variable (requires tool check)
Narrative Depth	Basic summary	Comprehensive analysis
Token Cost	Very Low	High
Primary Use Case	Audit & Compliance	Strategic Macro Briefing

Human-in-the-Loop (HITL) Governance & Fiduciary Duty

Legal & Ethical Accountability

AI systems possess no legal persona; ultimate responsibility for market analysis, valuation, and investment execution remains strictly with the human professional.

3-Step Editorship Protocol

- ① **Traceability Audit:** Verify every figure against original footnotes.
- ② **Contextual Omission Check:** Restore omitted caveats or risk disclaimers.
- ③ **Human Sign-Off:** Mandatory human signature before report distribution.

Seminar Discussion 1: Quantitative AI Explainability

Scenario & Dilemma

A deep learning quant trading agent achieves an unprecedented Sharpe Ratio of 3.2 in a 10-year backtest. However, the model operates as a complete black box.

Discussion Questions

- As CIO, would you allocate \$300 million USD (30% of AUM) to this black-box agent?
- How would you fulfill your fiduciary and regulatory duty during an unexpected 15% drawdown?

Seminar Discussion 2: AI Autonomy and Systemic Risk

Scenario & Threat

Big Tech acquisitions (Nvidia/Hugging Face, Stripe/OpenRouter) centralize AI infrastructure. Thousands of autonomous agents run on homogeneous foundation models.

Discussion Questions

- Could correlated panic-selling by homogeneous AI agents trigger systemic market crashes?
- What escape hatches (e.g., local private SLMs, decentralized execution) should financial institutions build?

Summary of the AI Finance Seminar 2026

15-Week Journey Overview

- **Modules 1–2:** Prompt Engineering, Open-Source SLMs, Hugging Face & OpenRouter.
- **Modules 3–4:** Precision RAG, GraphRAG/LightRAG, Autonomous Agents & Behavioral Simulation.
- **Module 5:** Real-Time Market Integration (KOSPI), Automated Reporting & HITL Governance.

“AI provides machine speed; human judgment provides direction and accountability.”